

Atlas Copco Airpower

Employee HR Policy Document

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Prepared by: Human Resources Department

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Introduction

Atlas Copco Airpower is committed to fostering a workplace environment that is inclusive, professional, and productive for every member of our team. This HR Policy Document serves as the definitive reference guide for all employees, outlining the rights, responsibilities, expectations, and entitlements that govern employment at Atlas Copco Airpower.

This document supersedes all prior HR policy communications and circulars issued before January 2025. All employees — regardless of grade, function, or location — are bound by the policies described herein. Managers and team leads are additionally responsible for communicating and enforcing these policies within their respective teams.

Atlas Copco Airpower operates within the framework of applicable local and international labor laws. Where any clause in this document conflicts with a statutory provision, the statutory provision shall prevail. The Human Resources (HR) department is the custodian of this document and is responsible for periodic review, update, and communication of any amendments.

Scope of This Policy

These policies apply to all full-time, part-time, and fixed-term contract employees of Atlas Copco Airpower. Policies specific to contractual workers, interns, or third-party vendors shall be governed by their respective agreements and supplementary HR guidelines.

Policy Review Cycle

This HR Policy Document is reviewed annually by the HR Leadership Team in consultation with Legal, Finance, and Business Heads. Interim revisions may be issued when necessitated by regulatory changes or significant organizational restructuring. Employees will be notified of any material changes via official email and updated copies will be posted on the internal HR portal.

How to Use This Document

Each section of this document addresses a distinct area of HR policy. Employees are encouraged to read the complete document upon joining and to revisit relevant sections as needed. For specific queries not addressed herein, employees should contact the HR helpdesk at hr@atlascopeairpower.com or raise a ticket via the HR self-service portal.

Note: Digital copies of this document are available on the company intranet. Hard copies can be obtained from the HR department upon request.

1. Working Hours and Attendance

1.1 Standard Office Hours

The standard working hours at Atlas Copco Airpower are from 9:00 AM to 5:00 PM, Monday through Friday. This constitutes an eight-hour working day with a one-hour unpaid lunch break, resulting in a total of seven productive working hours per day and thirty-five hours per week. Public holidays notified by the company for the calendar year are excluded from this schedule.

1.2 Flexible Working Window

To support a healthy work-life balance, Atlas Copco Airpower offers a flexible working window for employees. Employees may choose to begin work anytime between 8:00 AM and 10:00 AM, provided they complete their required seven hours each day.

However, all employees must be available and actively working during the core hours of 11:00 AM to 4:00 PM. These core hours are non-negotiable and are designated to facilitate team collaboration, meetings, and real-time communication. Absence during core hours without prior approval from the reporting manager will be treated as half-day leave.

1.3 Work From Home (WFH) Policy

Atlas Copco Airpower recognizes the value of flexible working arrangements and permits eligible employees to work from home for up to two days per week. WFH arrangements must be approved in advance by the employee's direct manager. Ad-hoc or last-minute WFH requests must be communicated and acknowledged via email or the HR self-service portal before the start of the working day.

Employees working from home are expected to maintain the same level of availability, responsiveness, and productivity as they would in the office. They must be reachable on all standard communication channels (email, Teams, phone) during core hours. WFH is a privilege and may be revoked if misused or if performance is adversely affected.

- WFH is not applicable during the first 90 days of employment (probation period).
- Roles requiring physical presence (lab, manufacturing, facilities) are exempt from WFH.
- WFH days cannot be carried over or accumulated.
- On-site attendance is mandatory on days with scheduled all-hands meetings or client visits.

1.4 Attendance Tracking

Attendance is recorded through the company's biometric system at office entry points or via the official attendance mobile application for remote workers. Employees are required to mark their check-in and check-out each day without exception. Failure to mark attendance on two or more occasions in a month without valid reason may result in a salary deduction for those days.

The HR department generates monthly attendance reports for all managers. Employees with attendance below 85% in any given month (excluding approved leaves) will be flagged for a discussion with their manager. Persistent attendance issues may be escalated to the HR Business Partner and may form part of the employee's performance review.

1.5 Overtime and Compensatory Off

Work beyond standard hours is generally discouraged as a routine practice. Where overtime is required due to business-critical needs, it must be pre-approved by the department head. Compensatory off (comp-off) will be granted for approved overtime at a ratio of 1:1 and must be availed within 30 days of

the overtime worked. Comp-off days do not carry any monetary value and cannot be encashed.

2. Leave Policy

Atlas Copco Airpower's Leave Policy is designed to ensure that employees have adequate rest, can manage personal emergencies, and attend to family responsibilities without financial stress. All leave entitlements are calculated on a calendar-year basis (January to December) unless stated otherwise. Leave must be applied for in advance through the HR self-service portal, except in cases of emergency.

2.1 Leave Entitlement Summary

Leave Type	Entitlement	Carry Forward	Notes
Casual Leave (CL)	25 days/year	Not allowed	For personal or family needs
Sick Leave (SL)	5 days/year	Not allowed	Medical certificate required >2 days
Earned Leave (EL)	15 days/year	Up to 30 days	Encashable on separation
Maternity Leave	26 weeks	N/A	As per statutory provision
Paternity Leave	5 days	N/A	Within 30 days of child's birth
Bereavement Leave	3 days	N/A	Immediate family members
Marriage Leave	5 days	N/A	Once during service tenure

2.2 Leave Application Process

All leaves must be applied for through the HR self-service portal at least 48 hours in advance for planned leaves, and within 24 hours of return for unplanned emergency leaves. The employee's manager will approve or reject the request within one business day. Leaves taken without approval will be treated as Loss of Pay (LOP) unless subsequently regularized by the manager.

2.3 Leave Without Pay (LWP)

Employees who have exhausted their leave balance may apply for Leave Without Pay with documented justification. LWP requires dual approval from the reporting manager and the HR Business Partner. LWP days are deducted from the monthly salary proportionally and are reflected in the payroll for the respective month.

2.4 Maternity and Paternity Leave

Atlas Copco Airpower fully supports working parents. Maternity Leave of 26 weeks is provided in accordance with statutory requirements. Employees returning from maternity leave are entitled to a reintegration meeting with their manager and HR to plan a smooth transition back to work. Paternity Leave of 5 days must be availed within 30 days of the child's birth or adoption.

3. Compensation and Benefits

3.1 Salary Payment

All employees of Atlas Copco Airpower receive their monthly salary on the first working day of each month. Salaries are disbursed via direct bank transfer to the employee's registered bank account. The payslip for each month is made available on the HR portal by the 5th of the following month. Employees are encouraged to review their payslips and report any discrepancies to the payroll team within 7 days of issuance.

3.2 Salary Structure

The salary structure at Atlas Copco Airpower is designed to be competitive and transparent. A typical CTC (Cost to Company) package comprises Basic Salary, House Rent Allowance (HRA), Special Allowance, Provident Fund (employer contribution), and other variable components. A detailed salary break-up is shared with employees at the time of joining and during annual appraisals.

3.3 Performance Bonus

Eligible employees may receive an annual performance bonus of up to 10% of their annual CTC. The bonus is directly linked to the individual's annual performance rating and the company's overall financial performance for the year. Bonus payouts are processed in February following the completion of the annual performance review cycle in January.

- Outstanding: Up to 10% of annual CTC
- Exceeds Expectations: Up to 7.5% of annual CTC
- Meets Expectations: Up to 5% of annual CTC
- Needs Improvement / Unsatisfactory: Not eligible for bonus

Employees who join mid-year are eligible for a pro-rated bonus based on the number of months of service completed before December 31st of that year. A minimum of six months of service is required for bonus eligibility in a given year.

3.4 Health Insurance

Atlas Copco Airpower provides comprehensive health insurance coverage equivalent to 1% of the employee's annual CTC. The insurance coverage extends to the employee's immediate family, including spouse and up to two dependent children. The insurance plan covers hospitalization, pre- and post-hospitalization expenses, and day-care procedures, subject to policy terms. Details of the insurance plan, including the list of network hospitals and claim procedures, are provided in the Health Insurance Guide available on the HR portal.

3.5 Meal Allowance

All employees are entitled to a meal allowance of 500 EUR per month. This allowance is credited to the employee's meal card or added directly to the salary, depending on the country of employment. The meal allowance is exempt from income tax up to the statutory limit and is non-encashable at separation.

4. Code of Conduct

Atlas Copco Airpower expects all employees to conduct themselves with the highest standards of professionalism, integrity, and respect at all times. The Code of Conduct is not merely a set of rules but a reflection of the company's core values: Innovation, Accountability, Collaboration, and Excellence. Violations of the Code of Conduct are treated seriously and may result in disciplinary action up to and including termination.

4.1 Dress Code

The standard dress code at Atlas Copco Airpower is business casual. Employees are expected to dress neatly and professionally at all times. On days when clients, auditors, or senior leadership are visiting, employees are required to wear formal business attire. Employees on client site visits must always wear formal attire unless the client's dress code is explicitly more casual, in which case manager approval is required.

4.2 Professional Behaviour

Every employee is expected to treat colleagues, clients, vendors, and stakeholders with dignity and respect. Discrimination, harassment, bullying, or intimidation of any form — whether based on gender, race, religion, nationality, age, disability, or sexual orientation — is strictly prohibited and will be acted upon with zero tolerance. Employees who witness or experience such behaviour are encouraged to report it immediately through the Grievance Redressal process outlined in Section 6.

4.3 Company Property

All equipment, software, and assets provided to the employee by Atlas Copco Airpower — including but not limited to laptops, mobile phones, access cards, and uniforms — remain the property of the company at all times. Upon resignation, retirement, or termination, employees must return all company assets in good working condition within their last working day. Outstanding asset returns will result in a hold on the final settlement.

4.4 Confidentiality Obligations

Employees are required to sign a Confidentiality and Non-Disclosure Agreement (NDA) at the time of joining. This agreement extends for a period of 2 years post-employment, during which former employees must not disclose, use, or transfer any proprietary information, trade secrets, customer data, or internal business strategies belonging to Atlas Copco Airpower. Breach of this clause may result in legal action.

4.5 Conflict of Interest

Employees must avoid situations where personal interests could conflict with those of the company. This includes undisclosed employment with competitors, accepting gifts or favours from vendors beyond a nominal value of 50 EUR, or having a financial interest in a competing business. Any potential conflict of interest must be declared to HR and the employee's manager at the earliest opportunity.

5. Resignation and Separation

The separation of an employee from Atlas Copco Airpower — whether voluntary or involuntary — is handled with professionalism, fairness, and confidentiality. The processes outlined in this section are designed to ensure a smooth transition for both the employee and the organization.

5.1 Voluntary Resignation

Employees who wish to resign must submit a formal written resignation letter to their reporting manager and HR Business Partner. The resignation letter must clearly state the intended last working day, which must comply with the notice period requirements. Verbal resignations are not accepted and do not trigger the notice period.

5.2 Notice Period

The standard notice period for all employees at Atlas Copco Airpower is 60 calendar days. This applies to both voluntary resignation by the employee and termination initiated by the company. The notice period may be waived or reduced with written approval from the employee's manager in consultation with the HR Business Partner.

During the notice period, the employee is expected to continue performing their regular duties, complete knowledge transfer documentation, and assist in the handover of responsibilities to a designated colleague or replacement. Non-compliance during the notice period may affect the final settlement and reference letters.

5.3 Notice Period Buyout

Employees who are unable to serve the full notice period may opt for a notice period buyout. The buyout amount is calculated at the employee's basic salary rate for the remaining days of the notice period. The buyout amount must be paid to the company before or on the last working day. The company may also initiate a notice period buyout for business reasons, in which case the payment will be made to the employee.

5.4 Exit Interview

All departing employees are invited to participate in an exit interview conducted by the HR Business Partner. The exit interview is an opportunity for the employee to share candid feedback about their experience at Atlas Copco Airpower. Responses are treated confidentially and used to improve the work environment. Participation is voluntary but highly encouraged.

5.5 Full and Final Settlement

The full and final (F&F;) settlement, including pending salary, earned leave encashment, and any reimbursable expenses, will be processed and credited to the employee's bank account within 45 calendar days of the last working day. The F&F; settlement is contingent upon the employee returning all company assets, completing the clearance process, and submitting all pending expense claims.

6. Grievance Redressal

Atlas Copco Airpower is committed to providing a fair, timely, and transparent mechanism for employees to raise and resolve workplace grievances. All complaints are treated with confidentiality and are investigated impartially. Employees are encouraged to use this mechanism without fear of retaliation.

6.1 Scope of Grievances

A grievance is any concern, dissatisfaction, or complaint that an employee believes is unjust, unfair, or inconsistent with company policy. Grievances may relate to compensation, working conditions, interpersonal conflict, harassment, discrimination, or concerns about manager conduct. Concerns related to ethics violations should be reported through the Ethics Hotline rather than the Grievance process.

6.2 Three-Step Escalation Process

The following escalation process must be followed:

Step	Action	Timeline
Step 1	Raise the concern directly with the reporting manager. A resolution should be sought informally through open dialogue.	Within 5 working days
Step 2	If unresolved, escalate the grievance formally to the HR Business Partner by submitting a written grievance form. HR will investigate and respond.	Within 7 days of Step 1
Step 3	If still unresolved, escalate to senior leadership (Business Head / CHRO). A formal review committee will be convened.	Within 15 days of Step 2

6.3 Anti-Retaliation Policy

Atlas Copco Airpower strictly prohibits any form of retaliation against an employee who raises a grievance in good faith. Retaliation includes, but is not limited to, unfair performance ratings, exclusion from opportunities, reassignment of duties, or any form of intimidation. Any act of retaliation will itself be treated as a serious disciplinary offence.

7. IT and Data Security

The secure management of information and technology assets is a shared responsibility of all employees at Atlas Copco Airpower. These policies are designed to protect company data, client information, and the integrity of IT systems from unauthorized access, misuse, or breach.

7.1 Password Management

All employees must adhere to the company's password policy at all times. Passwords must be a minimum of 12 characters in length and must include a combination of uppercase letters, lowercase letters, numbers, and special characters. Passwords must be changed every 90 days. Employees must not reuse any of their last 10 passwords. Sharing passwords with colleagues — even managers — is strictly prohibited.

7.2 Personal Device Policy (BYOD)

Personal devices, including smartphones, tablets, and laptops, are not permitted on the company's internal network without explicit prior approval from the IT Security team. Employees seeking to connect personal devices must submit a formal BYOD request and comply with the Mobile Device Management (MDM) requirements as prescribed by IT.

7.3 Data Classification

All data handled by employees must be classified according to the following framework and treated accordingly:

- Public: Data approved for external distribution. No restrictions.
- Internal: Data for internal use only. Not to be shared with external parties.
- Confidential: Sensitive business or client data. Encryption required in transit and at rest.
- Restricted: Highly sensitive data (financial records, PII, IP). Access limited to authorized personnel only.

7.4 Acceptable Use of IT Resources

Company IT resources — including computers, email, internet access, and software licenses — are provided for business purposes. Incidental personal use is permitted provided it does not interfere with work, violate any law, or compromise security. The company reserves the right to monitor usage of IT resources in accordance with applicable law and the employee's consent provided at the time of joining.

7.5 Security Incident Reporting

Any actual or suspected security incident — including phishing attempts, data breaches, lost or stolen devices, unauthorized access, or malware infections — must be reported to the IT Security team within 2 hours of discovery. Delayed reporting of a security incident is itself a policy violation and may result in disciplinary action. The IT Security team's emergency contact is available 24/7 on the intranet.

8. Travel and Expense Policy

Atlas Copco Airpower reimburses employees for reasonable and necessary business travel expenses incurred while carrying out their professional responsibilities. All travel must be planned, approved, and documented in accordance with this policy to qualify for reimbursement.

8.1 Domestic Travel Limits

City Category	Hotel (per night)	Meals (per day)	Local Transport
Metro Cities	Up to 200 EUR	Up to 100 EUR	Actuals with receipts
Tier 2 Cities	Up to 100 EUR	Up to 100 EUR	Actuals with receipts

Employees are expected to book hotels and flights in advance through the company's approved travel portal to take advantage of negotiated corporate rates. Bookings made outside the approved portal will be reimbursed only up to the policy limit and require additional justification.

8.2 International Travel

International travel must be pre-approved by the Vice President (VP) of the respective function at least 10 business days before the travel date. Travel requests must be submitted via the HR portal along with a business justification, estimated budget, and agenda. Visa and travel insurance arrangements are facilitated by the travel desk upon confirmation of VP approval.

8.3 Expense Claims and Reimbursement

All expenses must be submitted within 30 days of the travel date with original receipts or e-receipts. Claims submitted after 30 days will require Finance Head approval and may be declined if the delay is unexplained. Approved reimbursements are processed and credited to the employee's salary account within 15 working days of submission.

9. Performance Management

Atlas Copco Airpower's Performance Management System (PMS) is designed to align individual goals with the organization's strategic objectives, recognize high performance, identify development needs, and support career growth. The system is built on the principles of transparency, continuous feedback, and objective assessment.

9.1 Goal Setting

At the beginning of each year (January), employees and managers collaborate to set SMART (Specific, Measurable, Achievable, Relevant, Time-bound) goals. Goals are entered into the HR performance system and are visible to both the employee and the manager. Goals may be revised mid-year with mutual agreement if business priorities change significantly.

9.2 Continuous Feedback and Mid-Year Check-in

Managers are expected to provide regular, ongoing feedback to their team members throughout the year. A formal mid-year check-in is conducted in July to review progress against goals, address development needs, and recalibrate priorities if required. Employees may also request feedback from their managers at any time through the HR portal's feedback module.

9.3 Annual Performance Review

The annual performance review takes place in January each year and covers the preceding calendar year (January to December). The review involves a self-assessment by the employee, an assessment by the reporting manager, and a calibration discussion at the department level to ensure consistency and fairness. Final ratings are communicated to employees by the end of February.

9.4 Performance Ratings

Rating	Description
Outstanding (O)	Consistently exceeds all goals; significant impact on business outcomes
Exceeds Expectations (EE)	Exceeds most goals; demonstrates initiative and strong results
Meets Expectations (ME)	Achieves all set goals; solid and reliable performer
Needs Improvement (NI)	Partially meets goals; requires targeted improvement plan
Unsatisfactory (U)	Fails to meet goals; performance is below acceptable threshold

9.5 Performance Improvement Plan (PIP)

Employees rated Needs Improvement or Unsatisfactory may be placed on a Performance Improvement Plan (PIP). The PIP is a structured 60-day program with clearly defined improvement targets, weekly check-in meetings with the manager and HR Business Partner, and documented milestones. The purpose of the PIP is to support the employee in achieving the required performance standard. Failure to meet PIP objectives may result in further disciplinary action, including separation.

10. Employee Benefits and Perks

Atlas Copco Airpower believes that a motivated and well-supported workforce is the foundation of business success. Beyond competitive compensation, the company offers a comprehensive benefits package aimed at supporting employee wellbeing, long-term financial security, and professional development.

10.1 Provident Fund (PF)

The company contributes 12% of the employee's basic salary towards the Provident Fund upon completion of 2 years of continuous service. The employee's own PF contribution is deducted from gross salary as per the statutory rate. PF accounts are managed in accordance with applicable regulations, and employees can access their PF balance through the government's unified portal or the company's HR self-service system.

Employees may apply for a PF advance in cases of emergency such as illness, marriage, or purchase of a home, subject to fund availability and eligibility criteria prescribed by the regulatory authority.

10.2 Gratuity

Employees who have completed a minimum of 5 years of continuous service at Atlas Copco Airpower are entitled to receive gratuity at the time of separation. Gratuity is calculated as per the statutory formula: $(\text{Last drawn basic salary} \times 15 \text{ days} \times \text{Number of years of service}) / 26$. Gratuity is paid within 30 days of the employee's last working day.

10.3 Learning and Development (L&D;) Sponsorship

Atlas Copco Airpower is committed to the continuous professional development of its workforce. Every employee is entitled to 2 company-sponsored certifications per calendar year, with a cap of 500 EUR per certification. Eligible certifications include industry-recognized credentials in areas such as technology, engineering, project management, finance, and leadership.

To avail the L&D; sponsorship, employees must submit a training request through the HR portal with a description of the certification, its business relevance, and the estimated cost. Requests must be approved by the reporting manager and the L&D; team before enrollment. Employees who leave within 12 months of completing a company-sponsored certification may be required to repay the full or partial training cost, as stipulated in the Training Bond Agreement.

10.4 Annual Team Offsite

Each team at Atlas Copco Airpower is entitled to one annual offsite — fully funded by the company — to promote team bonding, strategic alignment, and collective rejuvenation. The offsite is typically organized between Q2 and Q3, and the location, agenda, and budget are planned by the team in coordination with the department head. The company covers all costs including travel, accommodation, meals, and planned activities.

10.5 Additional Perks

- Employee Assistance Programme (EAP): Free and confidential counselling sessions available to all employees and their immediate family members.
- Referral Bonus: Employees who refer successful candidates for open positions receive a referral bonus as per the Talent Acquisition policy.
- Wellness Programme: Subsidized gym memberships and access to virtual wellness sessions.

- Flexible Benefits Plan: Employees above a certain grade can customize components of their CTC within defined limits through the flexible benefits portal.
- Long Service Awards: Recognition and rewards for employees completing 5, 10, and 15 years of service.

Employee Acknowledgment

I, the undersigned, acknowledge that I have received, read, and understood the Atlas Copco Airpower Employee HR Policy Document (Version 2.0, effective January 2025). I agree to abide by all the policies, procedures, and guidelines outlined in this document. I understand that failure to comply with these policies may result in disciplinary action, up to and including termination of employment.

I further acknowledge that this document does not constitute a contract of employment and that Atlas Copco Airpower reserves the right to amend, update, or revoke any policy herein at any time, with reasonable notice to employees.

Employee Full Name: _____

Employee ID: _____

Department: _____

Date: _____

Signature: _____

For HR use only — Please retain the signed copy in the employee's personnel file.